

Amendment No. 1 to HB2540

Crawford
Signature of Sponsor

AMEND Senate Bill No. 1873*

House Bill No. 2540

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 8-23-201(a)(2)(A)(iii), is amended by deleting "executive grade levels" and substituting "executive exempt classifications".

SECTION 2. Tennessee Code Annotated, Section 8-30-102(c), is amended by deleting the language "shall" in the first sentence and substituting "may".

SECTION 3. Tennessee Code Annotated, Section 8-30-108, is amended by deleting the section.

SECTION 4. Tennessee Code Annotated, Section 8-30-301(b), is amended by deleting the subsection.

SECTION 5. Tennessee Code Annotated, Section 8-30-302, is amended by deleting the section.

SECTION 6. Tennessee Code Annotated, Section 8-30-304(a), is amended by adding the following as a new subdivision:

() Has used the application to harass, intimidate, or abuse the hiring process or persons involved in the hiring process.

SECTION 7. Tennessee Code Annotated, Section 8-30-305, is amended by deleting the section.

SECTION 8. Tennessee Code Annotated, Section 8-30-306, is amended by deleting the section.

SECTION 9. Tennessee Code Annotated, Section 8-30-311, is amended by deleting the section and substituting instead:

(a) For positions where education or certification is not necessary or when the character or place of the work makes it impracticable to supply the needs of the service by appointments made in accordance with the procedure prescribed by this part, the commissioner may adopt, or authorize the use of, such other procedures as the commissioner determines to be appropriate in order to meet the needs of the service.

(b) The commissioner may provide input on all contracts with the private sector to perform such functions or jobs described in subsection (a). The commissioner may be involved in communications with an employee whose job may be terminated as the result of a contract with a private party.

SECTION 10. Tennessee Code Annotated, Section 8-30-313(f), is amended by deleting the subsection.

SECTION 11. Tennessee Code Annotated, Section 8-30-318, is amended by deleting the section and substituting instead:

(a) The department shall promulgate rules and guidelines establishing an appeal procedure for employees, which must include the orderly conduct of proceedings.

(b) An employee in the preferred service system who has successfully completed the required probationary period may file an appeal concerning the application of a law, rule, or policy to the dismissal, demotion, or suspension of the employee. An executive service employee does not have standing to file an appeal under this section.

(c) An employee who files an appeal under this section must file the appeal as soon as possible after the occurrence of the act or condition complained of, and no later than fourteen (14) calendar days after the date the employee became aware, or by the exercise of reasonable diligence should have become aware, of the occurrence giving rise to the appeal. If an employee fails to file the appeal within the fourteen-calendar-day period, then the right to appeal under this chapter lapses and is deemed to be waived in its entirety by the employee.

(d) For the purposes of this chapter, an appeal is filed when the appointing authority or the commissioner of human resources, depending on whether the appeal is being made under Step I or II as provided in subsection (f), receives a written or electronic copy of the appeal. If a physical copy of the appeal is mailed to the agency, then the timeliness of the appeal is determined by the date postmarked on the envelope.

(e) A remedy granted under this section must not extend back more than thirty (30) calendar days before the appeal was filed.

(f) The following appeal procedure is established:

(1) **Step I.** The appealing employee must reduce the appeal to writing and file the appeal with the appealing employee's appointing authority. In the appeal, the employee must provide a statement detailing why the discipline issued was in error and should be overturned, reduced, or amended. The appointing authority or appointing authority's designee must conduct an investigation, if necessary, meet with the employee, and issue a decision in writing no later than twenty (20) calendar days after the date the appointing authority receives the appeal. The appointing authority or designee shall provide to the employee a copy of all relevant evidence in the appointing authority's or designee's possession. The appointing authority or designee shall make all reasonable efforts to gather all relevant evidence that is germane to the meeting prior to conducting the meeting for purposes of providing the information to the employee. All relevant evidence must be provided to the employee no less three (3) business days in advance of the meeting. If evidence is part of an active criminal investigation or prosecution by a law enforcement agency, or is otherwise deemed confidential under existing law, then the evidence must not be provided in advance of the meeting; provided, that the employee must be presented with the evidence during the meeting if the evidence will be relied upon by the appointing authority for purposes of issuing a decision. If applicable,

the employee must acknowledge in writing that the employee was presented with the evidence. Unless otherwise provided for in this section, all evidence in possession of the appointing authority or designee prior to the meeting that was not provided to the employee in accordance with this subdivision (f)(1) must not be considered by the appointing authority for purposes of issuing a decision. Prior to issuing a decision, the appointing authority or designee may independently collect new evidence regarding a factual issue raised during a proceeding under Step I. If the appointing authority or designee independently collects new evidence, then the appointing authority or designee must provide a copy of the new evidence, as soon as practicable, to the employee. Copies of confidential evidence must not be distributed to the employee, but the employee must be afforded an opportunity to be presented with the evidence. The employee, no later than three (3) business days after receiving the evidence, may submit a response to the appointing authority or designee in support of or opposition to the new evidence, and may include with the response other evidence obtained by the employee relating to the response. The appointing authority or designee shall not issue a decision until the employee has been afforded the opportunity to respond to all new evidence in accordance with this subdivision (f)(1), unless such delay would violate the twenty-calendar-day deadline;

(2) Step II.

(i) If the appointing authority or designee does not find in favor of the employee or does not issue a timely decision, then the employee may appeal to the commissioner of human resources by filing an appeal no later than fourteen (14) calendar days after the date of the appointing authority's written decision or, in the case of a failure to issue a timely decision, the date on which the appointing authority's written decision was

due. The commissioner of human resources must review the appeal and the appointing authority's decision, if any, and issue a decision in writing no later than thirty (30) calendar days after the date the appeal was filed with the commissioner. Prior to issuing a decision, the commissioner may independently collect new evidence regarding factual issues raised during a proceeding under Step I. If the commissioner independently collects such evidence, then the commissioner must provide a copy of the evidence to the employee as soon as practicable. Copies of confidential evidence must not be distributed to the employee, but the employee must be afforded an opportunity to be presented with such evidence. No later than three (3) business days after receiving the evidence, the employee may submit a response to the commissioner in support of or opposition to the new evidence and may include with the response other evidence obtained by the employee relating to the response. The commissioner shall not issue a decision until the employee has been afforded the opportunity to respond to all new evidence or information in accordance with this subdivision (f)(2)(i), unless such delay would violate the thirty-calendar-day deadline.

(ii) At Step II, it is the duty of the employee to provide a written justification to the commissioner describing why the employee believes the Step I decision was in error and ought to be overturned, reduced, or amended. If there was not a timely Step I decision, then at Step II, it is the duty of the employee to provide a written justification to the commissioner describing why the employee believes the original discipline was in error and ought to be overturned, reduced, or amended. The written justification must specifically address the employee's

individual circumstances and the merits of the Step I decision, if applicable.

(g) If the employee is successful in obtaining reinstatement to a position from which the employee has been terminated, then the employee must be reinstated to a position in the county in which the employee was employed at the time of termination. The commissioner may grant exceptions on a case-by-case basis. In any case in which a successful employee has been awarded reinstatement or back pay, the agency involved shall have a period of thirty (30) days from the date of the final order within which to provide reinstatement or back pay.

(h)

(1) Decisions at the conclusion of Step II are subject to judicial review.

(2) The venue for judicial review must be within the grand division in which the employee's position is based.

(3) The three courts for judicial review are:

(A) Madison County, for the Western Grand Division;

(B) Williamson County, for the Middle Grand Division; and

(C) Greene County, for the Eastern Grand Division.

(4) Apart from venue, all decisions must be made in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(i)

(1) In a Step I appeal the employee may have a representative participate in the appeal.

(2) The representative may be an attorney or non-attorney.

(3) The representative may:

(A) Advise the employee on rights, strategy, and process;

(B) Assist the employee in the preparation, submission, and presentation of evidence, subject to other guidelines and date requirements established for the appeal meeting;

(C) Assist the employee in providing rebuttal evidence for the record; and

(D) Assist the employee in filing the appeal.

(j) The department or agency in a Step I appeal shall make an audio recording of the proceeding.

(k) All records, including the audio recording, must be made available upon the request of any party at a Step II hearing and for purposes of judicial review.

SECTION 12. Tennessee Code Annotated, Section 8-30-320, is amended by deleting the section.

SECTION 13. Tennessee Code Annotated, Section 8-30-407, is amended by deleting the section and substituting instead:

When calculating a time period established by this chapter, the day an event or action occurs is not included in the time period, and the first day of such time period is the day following such event or action. If the final day of the time period falls on a Saturday, Sunday, holiday listed in § 15-1-101, or a day the relevant office is closed or inaccessible, then the deadline extends to the next business day that is not one (1) of the aforementioned days. If a time period is shorter than eleven (11) days, each Saturday, Sunday, holiday listed in § 15-1-101, or day on which the relevant office is closed or inaccessible does not count toward the time period.

SECTION 14. Tennessee Code Annotated, Section 8-50-102, is amended by deleting the section.

SECTION 15. Tennessee Code Annotated, Section 8-50-105, is amended by deleting the section.

SECTION 16. Tennessee Code Annotated, Section 8-50-106, is amended by deleting the section.

SECTION 17. Tennessee Code Annotated, Section 8-50-109, is amended by deleting the section.

SECTION 18. Tennessee Code Annotated, Section 8-50-110, is amended by deleting subsections (a) and (b).

SECTION 19. Tennessee Code Annotated, Section 8-50-117, is amended by deleting the section.

SECTION 20. Tennessee Code Annotated, Section 8-50-802(a), is amended by deleting subdivision (5) and substituting the following:

(5) An employee may be required to present evidence in the form of personal affidavits, physicians' certificates, or other testimonials, at the request of the appointing authority or the commissioner of human resources, to support the reason for an absence during the time for which sick leave was taken. The appointing authority may not deny sick leave to an employee who furnishes the statement of a licensed healthcare provider licensed pursuant to title 63, as determined by the department of human resources, or an accredited Christian Science practitioner in support of the reason for the absence. The appointing authority may also require additional documentation if, upon further investigation, there is substantial evidence of excessive sick leave usage or abuse. In these cases, the appointing authority has discretion to approve or deny further leave.

SECTION 21. Tennessee Code Annotated, Section 8-50-806, is amended by deleting the section.

SECTION 22. Tennessee Code Annotated, Section 8-50-807(a)(1), is amended by deleting the subsection and substituting:

(1) Each officer and employee entitled to annual leave under this part must be compensated upon the completion of state service for the officer's or employee's unused

accrued annual leave, based upon the number of months the employee worked beyond the officer's or employee's service anniversary date established under § 8-23-202(a).

SECTION 23. Tennessee Code Annotated, Section 8-50-807(b), is amended by deleting the subsection.

SECTION 24. Tennessee Code Annotated, Section 8-50-808, is amended by deleting the section and substituting instead:

An employee may designate a beneficiary to receive payment for accrued annual leave, sick leave, and compensatory leave upon the employee's death. Unless an employee designates differently, the beneficiary must be the same as designated for receipt of retirement benefits with the Tennessee consolidated retirement system. In the event no beneficiary is designated, the estate of an employee, upon the employee's death, must be compensated for the employee's unused sick leave in the same manner that the estates of deceased employees are compensated for terminal leave as laid out in § 8-50-807.

SECTION 25. Tennessee Code Annotated, Section 8-50-809(b), is amended by deleting the first sentence and substituting:

This part, except for those provisions that relate to annual/sick leave transfer, sick leave reinstatement, or § 8-50-802(a)(4), do not apply to officers or employees of the University of Tennessee system of the state university and community college system.

SECTION 26. Tennessee Code Annotated, Section 8-50-810, is amended by deleting the section and substituting instead:

In the event of a natural disaster, and upon the declaration of a state of emergency by the governor of Tennessee, state employees may be granted leave from work with pay for a period not to exceed five (5) workdays in each year to participate in disaster relief efforts. Leave granted under this section must be approved by the

employee's appointing authority. This leave must not affect the employee's regular leave status.

SECTION 27. Tennessee Code Annotated, Section 8-50-813(a), is amended by deleting the first sentence and substituting:

In addition to leave granted under §§ 8-50-801 and 8-50-802, an eligible employee must be granted absence from work with pay for a period of time equal to six (6) workweeks because of the birth of the employee's child or because of the placement of a child with the employee for adoption, or because the employee is caring for a family member with a serious health condition, and upon the employee giving thirty-days' notice to the appropriate appointing authority.

SECTION 28. Tennessee Code Annotated, Section 8-50-901, is amended by deleting subdivision (1).

SECTION 29. Tennessee Code Annotated, Section 8-50-903, is amended by deleting subdivision (2) and substituting:

(2)

(A) The board of trustees is composed of the commissioners of human resources and of finance and administration, the state treasurer, the executive director of the fiscal review committee, or their designees, and three (3) members.

(B) A procedure for employees to elect these positions must be developed by the commissioner by rule, which must include that:

(1) At least one (1) of these positions must be filled by a preferred service employee;

(2) At least one (1) of these positions must be filled by an executive service employee; and

(3) One (1) position must be an "at-large" position that may be filled by an employee in either the executive or preferred service.

(C) Vacancies of state employee member positions must be filled by the selection procedures established by subdivision (2)(B).

SECTION 30. Tennessee Code Annotated, Section 8-50-903, is amended by deleting subdivision (6).

SECTION 31. Tennessee Code Annotated, Section 8-50-908, is amended by deleting subdivision (4) and substituting:

(4) Being on approved leave of absence, except for leave utilized in accordance with § 8-50-907; or

SECTION 32. Tennessee Code Annotated, Section 41-24-113, is amended by deleting subdivision (b)(1).

SECTION 33. Tennessee Code Annotated, Section 70-1-309, is amended by deleting the section and substituting:

The department of human resources and the Tennessee wildlife resources agency shall develop a salary administration plan for the agency's officers, biologists, and other positions unique to the agency. Notwithstanding another law to the contrary, upon approval of the commissioners of finance and administration and of human resources and the director of the Tennessee wildlife resources agency, such salary administration plan must be implemented.

SECTION 34. For the purpose of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. Sections 3, 10, 11, 18, 22, 23, 24, 28, 29, and 30 of this act take effect July 1, 2026, the public welfare requiring it. Section 26 of this act takes effect January 1, 2027, the public welfare requiring it. All other sections take effect upon becoming a law, the public welfare requiring it.